



Third Eye Insights – Viewpoint

Financial Institutions Serious About Digital Banking Must Evaluate Partnerships with IT Service Providers

AI in a Bank

Region: US



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Fintechs, AI and other startups continue to emerge in every region around the world and the proliferation of application development tools and methodologies that appear to make it easier for financial institutions to create new capabilities and solutions and to make ITSPs obsolete.

However, the BSFS landscape is also littered with projects that never deliver ROI, don't result in products and services that drive more value for customers and differentiation for the bank.

It might appear logical to assume that ITSPs are not as relevant as they once were to the financial services industry. However, senior bank executives who want to achieve their strategic business goals should leverage the horizontal and vertical BSFS-specific expertise of ITSPs.

ITSPs Have the Skills & Expertise Your Financial Institution Needs

On their face, like legacy banks, ITSPs appear to be out-of-touch and too big to be agile enough for financial services organizations.

Financial institutions have access to plenty of data, technologies, software systems and internal IT teams as well as fintechs to partner with, they often lack the skills, culture and organizational adaptability to quickly identify how to use their assets to successfully complete projects tied to their corporate strategic business goals. ITSPs, however, have been cultivating the very skills and expertise that FIs need.

There are several reasons why senior bank executives on both the IT and the business sides should evaluate – or re-evaluate – IT services providers as partners:

1. Support to manage the increased risk and compliance management required to successfully deploy Banking-as-a-Service (BaaS) business models – especially in the US.
2. Deliver horizontal expertise with emerging technologies that is crucial for their vertical implementation by financial institutions.
3. Deliver vertical expertise that is crucial to making strategic changes in legacy architectures, systems and technologies.
4. Bring ITSPs's own internal experience with successful organizational change and adapting its technical skills to the business environment
5. Enable collaboration. ITSPs can help an FI build its collaboration muscles across lines of business and IT siloes. By using an ITSP in this way, the FI can speed innovation and to model innovative collaboration across the enterprise.
6. Use emerging technologies across the FI enterprise to create value along every banking and payment supply chain.

Takeaways for ITSPs:

Position your horizontal services for financial institutions. To do this:

- Focus on specific parts of financial services, rather than trying to be everything for everyone. For example, if you have vertical expertise in retail banking, then make that your focus.
- Demonstrate horizontal expertise and experience as part of your vertical services and capabilities. For example, “here’s how we are using Generative AI to identify redundant processes in a pharmaceutical company and here’s what we learned, and here’s how we can reuse that learning for your FI.”
- Identify your organization’s innovations in software development and organization culture that have made your ITSPs more successful, adaptable and open to change.
- Identify how changes your organization’s culture manifest in your partnership approach with financial institutions.
- Provide specific banking or payments examples in your positioning.

Takeaways for Financial Institutions

Look to ITSPs to

- Move your AI initiatives or projects from a focus on legacy goals such as productivity within line-of-business silos to enterprise initiatives that realize value-driven return on AI capital.
- Support your enterprise. For example, improving both internal and customer-facing processes is typically a challenge across a financial institution. By partnering with an ITSP with expertise in using AI technologies across an enterprise, the bank can extract and analyze data from all kinds of sources that it would otherwise be unable to bring together and create new value to improve those processes.
- Identify how to use AI technologies to digitize processes and, more importantly, create new value for your customers. One example is the account opening process. While many financial institutions have pushed more of the existing account opening process to the customer, they do so without tools to proactively avoid account opening fraud, detect use of bots and perform cross channel KYC, AML and fraud detection.
- Go beyond small line-of-business-focused innovations and to achieve strategic business and IT goals
- Address process problems or challenges that span multiple channels, silos, and lines of business, which your FI has never had the resources to address holistically.
- Create measurable benchmarks for success with emerging technologies.
- Gain expertise necessary to partner with fintechs and to manage the increased risk and compliance issues.

The IT service providers that can bring together a wide variety of horizontal and vertical expertise will be even more relevant to financial institutions in the next few years.



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